

Robinhood Markets, Inc.

HOOD NASDAQ

Hold	\$89.88 ▼ 3.11%	12M Price Target \$95.00	52-Week Range \$63.52 – \$153.86	Market Cap \$80.93B
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HOOD: Crypto Cool-Off Meets Fed Week Jitters

WHAT HAPPENED

- HOOD is down ~12% over five trading days (from \$101.58 to \$89.88) — and today's move on tiny volume (3.8M vs the usual 20M+) tells me this is a slow bleed, not panic selling. That's actually a decent sign — no one's dumping, but no one's stepping in to buy either ahead of the Fed decision and Big Tech earnings tonight (Microsoft, Meta).
- The Yahoo headline about "money leaving big tech" matters here — HOOD trades like a high-beta tech name (meaning it moves more than the market in both directions), so when growth stocks get sold, HOOD gets sold harder.

WHY IT MATTERS

Nothing major happened overnight — the thesis is intact. Keep an eye on price action and how the sector is moving for a potential entry point.

POLICY & POLITICAL WATCH

The FIT21 crypto market structure bill and stablecoin legislation (GENIUS Act) that passed in 2025 gave HOOD legal clarity to expand crypto offerings — this is why crypto revenue exploded and became ~40% of transaction revenue. Watch for the SEC under the current administration to keep loosening rules around tokenized securities and prediction markets (HOOD just built out event contracts) — every rule they relax is a new revenue line for Robinhood. The risk on the other side: if Democrats retake the House in the midterms next year, expect renewed pressure on payment-for-order-flow (PFOF), which is how HOOD makes money on stock trades — that's a 2027 story, not a today story, but keep it on the radar.

IS IT EXPENSIVE?

At \$89.88 and ~48x forward earnings, you're paying roughly \$48 for every \$1 the company is expected to earn next year — that's expensive versus Schwab (~18x) or IBKR (~28x), but HOOD is growing revenue 2-3x faster than either. The question isn't "is it cheap" (it's not) — it's "does 30%+ revenue growth justify the premium?" I think yes, as long as crypto volumes don't crater, but there's no margin of safety here at these levels.

WHAT COULD GO WRONG

- Crypto is a mood ring — if Bitcoin rolls over hard, HOOD's transaction revenue takes an immediate hit because crypto is now their biggest trading category. This is the #1 swing factor.
- PFOF (payment for order flow — where market makers pay HOOD to route customer trades to them) is still on regulators' radar long-term. A future administration could kill this, and it's ~35% of revenue.

Key Data

Price (USD)	\$89.88
12M Price Target	\$95.00
Upside / (Downside)	+5.7%
Market Cap	\$80.93B
FY2026E Revenue	\$4,200M
FY2027E Revenue	\$5,100M
FY2026E EPS	\$1.85
FY2027E EPS	\$2.40
Fwd P/E	48.6x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$105.00	\$92.00	\$80.00
6 Months	\$125.00	\$100.00	\$72.00
1 Year	\$145.00	\$110.00	\$65.00
2 Years	\$190.00	\$135.00	\$55.00
5 Years	\$280.00	\$175.00	\$45.00
10 Years	\$450.00	\$250.00	\$40.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+2.6% today) on the oil rally, and defensive sectors (Staples, Healthcare) over the past week — classic "de-risking ahead of Fed" behavior.

COOLING OFF: Communication Services and anything tech-adjacent — money is leaving the highest-multiple names first, which is why HOOD is getting hit.

ROTATION WATCH: This looks like a textbook pre-Fed rotation from growth into defensives and energy. If Powell delivers a dovish surprise, that rotation reverses fast and HOOD is a prime beneficiary.

RELATED PLAY: If you like the crypto-friendly-regulation thesis but want less volatility, look at COIN (Coinbase) or the crypto exchanges directly — or CME Group, which owns the derivatives infrastructure that benefits regardless of which platform wins retail.

WHO'S WINNING IN THIS SPACE?

- SNEX (StoneX): Getting Zacks upgrade attention today on high ROE (return on equity — basically how efficiently they turn shareholder money into profit) — institutional brokers are having a moment.
- IBKR (Interactive Brokers): The "grown-up" version of HOOD — steadier growth, less crypto exposure, holding up better in this pullback.

HOOD CONTEXT: HOOD is lagging peers this week because it has the most crypto exposure and the highest multiple — when the market gets nervous, the most expensive names bleed first. That's not a fundamental problem, it's a positioning problem, and it usually reverses quickly once macro fears fade.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I like the business and the policy backdrop, but the stock isn't cheap and I want a better entry.

POSITION SIZE: 2-4% — high-beta name with real upside but real volatility, so don't oversize.

ENTRY POINTS: I'd start nibbling at \$85 and add aggressively at \$80 if we get a broader market flush.

TIME HORIZON: 12-18 months — the catalyst I'm waiting for is Q3 earnings (crypto revenue re-acceleration) and any new product launch around tokenized stocks or prediction markets.

WHEN TO BAIL: If Bitcoin breaks below \$85K and crypto trading volumes drop 30%+, or if the SEC signals a return to PFOF restrictions — either of those breaks the thesis.

HEDGING: Simplest hedge — buy a put option (basically insurance that pays if the stock drops) 10-15% below your entry price. Or if you own HOOD, own some cash — dry powder is the best hedge in a volatile name.